7/9/2025 - Public Statement Hearing - 25-E-0072 - 25-G-0073

STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 25-E-0072 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for GAS Service.

CASE 25-E-0073 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for ELECTRIC Service.

PUBLIC STATEMENT HEARING

DATE: JULY 9, 2025

LOCATION: Brooklyn Borough Hall
209 Joralemon Street, 2nd Floor
Brooklyn, New York 10201

BEFORE: ALJ TARA KERSEY
ALJ DAKIN LECAKES

Reported by Ildiko Nyari

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(The hearing commenced at 1:01 p.m.)

A.L.J. KERSEY: Good afternoon. On the record, I call cases 25-E-0072 and 25-G-0073. Proceeding on motion of the Commission as to the rates, charges, rules and regulations of Con Edison -- Consolidated Edison Company of New York, Inc. for electric service, and the proceeding on motion of the Commission as to the rates, charges, rules and regulations of Consolidated Edison Company of New York, Inc. for gas service.

My name is Tara Kersey, and with me is Chief Administrative Judge Dakin Lecakes. Also with us is Commissioner Uchenna Bright of the Public Service Commission. I, along with Judge James Costello and Judge Nicholas Planty, have been assigned for the Department of Public Service to these rate cases.

Chief Administrative Judge Lecakes is with me today to preside over this public statement hearing held on behalf of the New York State Public Service Commission regarding the proposed changes in the electric and gas delivery rates and practices of the Consolidated Edison Company of New York.

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Con Edison filed amendments to its electric and gas tariff schedules on January 31st, 2025, proposing to increase its annual electric and gas delivery revenues for the 12-month period ending December 34th -- December 31st, excuse me, 2026.

As of its April 10th, 2025, updated testimony, Con Edison proposes to increase its electric delivery revenues by approximately $1.6 billion and its natural gas delivery revenues by approximately $349 million. The actual bill impacts of these proposed changes on any particular customer class will vary based on revenue allocation and rate design.

By letter dated June 24th, 2025, Con Edison filed a notice of impending settlement negotiations involving all participating parties. If settlement negotiations are successful, the parties to the settlement would file a joint proposal to be considered by the Commission.

Under New York State law, the Public Service Commission must consider the utility's proposals and may adopt or reject them in whole or in part, or modify it. At this time, the Commission

must decide these cases by December 30th, 2025. However, that date may be subject to further extension.

Regardless of how these cases proceed, the Public Service Commission will make the final decision regarding the company's terms and conditions for providing electric and gas service. This hearing is being held so you can provide your comments on Con Edison's proposals for the Commission's consideration.

In making its decision, the Commission will consider the evidentiary record in these cases and the comments made at this hearing. The Public Service Commission has seven members: the chairperson, Rory Christian, and six commissioners, James Alesi, David Valesky, John Maggiore, Uchenna Bright, Denise Sheehan, and Radina Valova. At this public hearing, we are joined by Commissioner Bright.

Commissioner, would you like to address the participants?

COMMISSIONER BRIGHT: Thank you, Judge Kersey. Thank you, Judge Kersey.

I would just like to say thank you to

everybody for participating today and for being here and taking time out of your busy schedules to be here. Also want to thank DPS staff and our administrative law judges for all the work that goes into making these hearings accessible to everybody and that people's voices are on the record. So thank you again, and I will pass it back to Judge Kersey.

A.L.J. KERSEY: Thank you, Commissioner.

Statements you make today will become part of the record. The court reporter here will prepare a transcript of the hearing, which will be included in the record of these proceedings. When it is ready, the transcript will be available for public view on the Department of Public [sic] website.

Today's hearing is not a question-and-answer session. We are here only to listen to your comments. However, if you do have any questions or concerns related to your service, Con Edison has representatives here and materials that provide a dedicated phone number and email for customers to get assistance related to specific customer service and billing inquiries. You can obtain these materials

near where you checked in by the elevator.

We have members of our Office of Consumer Services here as well, and they can assist you with questions or complaints regarding your utility service.

If you do not wish to speak at today's hearing, but you would like your views included in the record, there are other ways to comment. You can submit comments on the Department's website, by regular mail, or by telephone. Information regarding these alternative methods is available from the Department's Office of Consumer Services staff, who are seated at the table near the elevators.

Regardless of how your comments are submitted, they will be given equal consideration by the Commission. According to the Secretary's notice for the event, comments must be received by November 21st, 2025, to ensure that the Commission is able to consider them prior to making their final decision.

If you would like to make a statement here today and you have not done so already, please fill out a registration card. The cards are available at the table with our outreach staff.

Please speak slowly and clearly so that the court reporter can accurately capture your statement for the record.

Our first speaker is Assemblywoman Jo Anne Simon.

MS. SIMON: So thank you, Judge Kersey, Judge Lecakes, and Commissioner for the opportunity to provide public comments on Consolidated Edison's proposed rate change for electricity and gas.

I represent the 52nd Assembly District, which includes Downtown Brooklyn and Borough Hall, Boerum Hill, Brooklyn Heights, Carroll Gardens, Gowanus, Cobble Hill, and parts of Park Slope. And I'm calling on the PSC to reject these rate hikes.

We have all learned again on June 24th here in New York City that the rent is too damn high and so are the utility rates. We are facing an affordability crisis in New York City, and I know that the People of Westchester, whose ratepayers are also affected by this proposed increase, feel the pinch as well.

Our continued reliance on costly and polluting fossil fuels is only exacerbating this affordability crisis. Simply put, my constituents are outraged by the prospect of yet another rate hike. Most of this proposed increase would be used to fund fossil fuel infrastructure, supporting Con Ed's gas infrastructure and service delivery, fossil fuel-generated electricity, property taxes, and corporate profit. Very little of the proposed increase can be attributed to clean energy because just because it's electric doesn't mean it's sustainable or renewable.

So on the gas side, the average monthly bill for a typical customer heating with gas as a result of this rate hike would increase by $46.42, for a total increase from all customers amounting to $440 million. According to Con Ed's submission, the increase is attributable to several things.

Operating expenses, 22 percent; 22 percent for depreciation expenses where the ratepayers will pay back over time; 15 percent, or nearly $1 billion of gas infrastructure investments,

which will be paid back by customers over several decades; 15 percent of the increase would fund an increased return on shareholder equity from 9.25 percent to 10.1 percent; and 15 percent would pay for local property taxes.

On the electricity side, your typical electric customer would see an increase of $26 per month, for a total of 1.6 billion increase in -- across all customers. So the increase is broken down as -- as follows on the electric side.

27 percent of the increase is for local property taxes; 23 percent, or nearly four billion, would go to new electric infrastructure investments; 22 percent of the increase for various operating expenses; 15 percent of the increase would go towards pensions and other post-employment benefits. Similar to the gas side, 12 percent increase would fund the same increase in shareholder equity, and eight percent would be used for depreciation expenses, which, as we mentioned earlier, the ratepayers pay back over the next few decades.

So looking more deeply at the data

submitted by Con Ed in support of this request, 67 percent of its first-year capital investments, so 67 percent of that $4 billion, or 2.65 billion, are not attributable to clean energy but to supporting and expanding the fossil fuel-aligned electricity delivery infrastructure.

Only five percent of its first-year capital investments are dedicated to clean energy investments. Con Ed is not a builder of renewable energy because it can be. It's a distributor, mostly via fossil fuel-generated electricity production. It builds gas pipelines and electric grid infrastructure, not renewable energy. The public needs to know this and understand this.

The requested rate increase is completely out of line with the state's Climate Action Plan and the state's goal of 70 percent renewable energy generation by 2030. One in seven New York households is two months or more behind in their energy bills. More than 1.2 million families are collectively in debt and owe more than 1.3 billion to utilities.

This fact demands fundamental changes

in the way we deliver electricity and heating and cooling. Ratepayers can no longer afford to foot the bill for the maintenance of a costly fossil fuel network that is constantly in need of repair. Moreover, the costs incurred by those who are in serious arrears are socialized over the base of all ratepayers, resulting in still higher rates on delivery charges, all of which then snowballs, forces others to become unable to afford the increased costs. Most ratepayers do not know they are paying for the arrears of those who can't afford their own utility bills.

Climate change is real and it's here. The disastrous flood in Texas is but one of the examples of what climate -- climate change has wrought. In New York, we have experienced hundred-year weather events nearly every year. One -- our peak usage of electricity is during the increasingly hot summer months. We need to stop the train and take bold and innovative steps to transition from fossil fuels to clean, renewable energy.

I'm proud to have passed legislation that repeals the expensive, outdated 100-foot rule

subsidy by taxpayers which would remove the mandate that existing utility customers pay for the cost of new hookups to the gas system. This will save New Yorkers nearly $200 million a year throughout the State, but as it directly relates to this proposed rate hike will save Con Ed ratepayers $72 million in the first-rate year alone.

New York State is at a crossroads with looming federal cuts to vital energy assistance programs and its commitment to reach ambitious energy goals with the Climate Leadership and Community Protection Act. New York State must make choices that protect its inhabitants and choose a different path. For that reason, I am calling on the PSC to reject the proposed rate increases, which would just keep us on the path to further climate degradation.

I worked to pass the New York Heat Act during the recent legislative session, which would have put New York State on the path to transitioning its energy infrastructure from gas to renewable electricity in an orderly fashion. Those opposed largely claim the transition would be too costly. But my question is, more expensive for whom?

These rate hikes are borne on the backs of everyday New Yorkers. Already, replacing fossil fuel systems is becoming cheaper than repairing leak-prone sections of pipeline. In addition, the impacts on health and -- and -- are painful and expensive. The cost of repairing storm damage is astronomical.

Precisely how is transitioning to greener, more reliable, and increasingly cheaper renewable energy more costly than the status quo? The New York Heat Act, which would amend New York's obligations to serve gas only, is the clear long-term solution to New York's affordability crisis. It will lower monthly energy bills, curb future rate hikes, protect against possible energy tariffs, and save families who need it most an average of $136 on their energy bills every single month.

Further, I support the recommendations made and the concerns raised by the Public Utility Law Project in their testimony, which covers several topics including the impacts of the proposed rate hikes -- proposed rate increases, the already high arrears, the proposed return on equity, and several

customer service-related items, including the need for better extreme heat and cold protections to protect customers from service terminations, the need to expand the number of languages for translating customer service materials, bills, alerts, billing information, et cetera, and concerns about service terminations to large multiple dwellings where the account is in the landlord's name, not the tenant's name, difficulties coding electric heating accounts so that customers can access vital financial assistance for their bills.

We simply cannot afford to continue business as usual. So I call on the PSC to uphold its commitment to helping New York State achieve its climate goals to reach 70 percent renewable energy by 2030 and net zero emissions by 2050.

I ask the PSC to reject these rate hikes, and I strongly urge the Commission to facilitate the attainment of our state's goals and protect customers from the ever-escalating cost of their utility bills. Thank you.

A.L.J. KERSEY: Thank you. Thank you for your comments. Our next speaker is Zora

Satchell.

MS. SATCHELL: First, I want to say thank you to the Commissioner, Judge Lecakes, and Judge Kersey for opening the opportunity for public comment. My name is Zora Satchell, and I am a New York City resident living in Ridgewood, Queens.

I am here to ask you to reject the increase to Con -- Con Edison rates. Currently, I live with three other roommates, and due to our collective low income, we are capped at our monthly Con Edison bill at a rate of around $345, give or take, which means we each pay around $75 to $85 per month, which, despite the cap, is still a strain on our individual resources and finances.

This last year, I only made about $20,000 a year, and I only just recently got hired to a job that pays me 60,000 a year before taxes. This still is barely enough to cover rent, utilities, and money for a little -- a little left over to enjoy my life.

This affordability crisis hits New Yorkers like me incredibly hard. And with the Medicaid and SNAP cuts from Trump's Big, Beautiful

Bill will continue to devastate my community. Additionally, the lack of renewable energy is contributing to the climate crisis, which is currently the cause of the current heat wave here in New York City. And the heat wave is a huge public health concern, given that it leads to heat strokes for our elderly and houseless population.

Given the fact that there are limited cooling centers, this is incredibly concerning to me. It's important to me that we make New York not only affordable, but also livable with green energy which will save lives and protect against future climate crises that the current New York City infrastructure cannot support.

I ask the PSC to reject this spike. Thank you for your time.

A.L.J. KERSEY: Thank you so much. Thank you so much. That's all of the speaker registration cards that I have right now. Is there anyone else that would like to make a statement? Okay. We are going to leave the record open -- we're going to close the record, excuse me, but go back on the record in half an hour, leave the hearing open if

anyone appears and would like to make any further statements. Thank you. We're off the record.

(Off the record)

(On the record)

A.L.J. KERSEY: All right. We are going to go back on the record because we have two more speakers. Our next speaker is -- we are back on the record. Our next speaker is Liliana Harrington.

MS. HARRINGTON: Hello.

A.L.J. KERSEY: Hello.

MS. HARRINGTON: I'd just like to register my opposition to the proposed Con Edison rate hikes. In my most recent Con Edison bill, the delivery charges were five times what I paid for the actual supply of electricity. And I think asking for a 10.1 percent return on equity is outrageous when Con Ed already has one of the highest returns on equity in the nation.

If this is being used to cover improving our electricity grid and modernizing it, I'd like to know why Con Edison isn't working with lawmakers and companies to cover those costs rather than passing them on to consumers. I'd also like to

understand if some of this increased demand is from industrial needs, why companies aren't covering more of that.

We've already had rate increases the past three years. We do not need more rate increases. This is not something that residential customers should be covering. Thank you.

A.L.J. KERSEY: Thank you. Thank you for your comments. Our next speaker is Daniel Chu.

MR. CHU: Hey. Good afternoon. My name is Daniel Chu. I am the senior energy planner with the New York City Environmental Justice Alliance. We represent over 13 community-based organizations across all five boroughs of New York City. All of them are classified by the state as disadvantaged communities in some portions of those (indiscernible).

We are also here to voice our opposition to Con Ed's proposed rate hike. We will submit written comments in detail, so I'll briefly summarize what I'm going to say today verbally.

We believe that the $1.6 billion proposal from Con Edison is egregious, and most of it

does not address the actual needs of New Yorkers, many of whom in the communities that I serve already face really high energy bills.

So a $50 average increase in monthly bills would be extremely detrimental to the general affordability that they have. And most of them are either not able or have a difficult time enrolling in Con Ed's EAP program given the lack of program support from Con Edison.

And we're hearing from folks in our communities that a lot of these requests are being redirected to the mayor's office and then directed to Con Ed, which seems extremely inefficient. And there's been a lot of billing issues that our communities have faced over the years.

Based on our analysis of Con Ed's rate proposal, we think only about 2.7 million of those are actually going to programs that help low-income New Yorkers to help with electrification, home affordability out of all the $1.6 billion of increases. And that's not even to mention the gas increases in bills.

So we believe there needs to be

significant compromises between the PSC and Con Ed on how they want to address the necessary investments we need in energy reliability, but as well as balancing sort of the rising cost of living that New Yorkers are facing.

That is not to say that we oppose rate hikes in general. We just believe that Con Edison should not face increased return on equity. They should not be getting increased returns on equity. In fact, it should be frozen or reduced return on equity from Con Ed's perspective.

We believe that they don't deserve the current rate of margins. But we do believe that Con Ed should be spending more on programs such as affordability, energy assistance, clean energy infrastructure, climate change resilient infrastructure, distributed energy resources, and in particular, demand-side management resources and demand response programs, which we've heard from our communities that are having a lot of trouble enrolling and participating in those programs.

We believe that we can find alternative ways to resolve the arrears program.

From the proposal, I believe Con Ed is hiring hundreds of more employees in the arrears program to go after people who are unable to pay those bills. At the same time, we think that a better solution might be for the city government, the state government, and Con Ed to work together to use some of the property taxes, being one of the largest taxpayers in New York City, to use some of those funding to address the inability for people to pay for bills, especially for people who are paying seven percent or more on electricity and gas, many of whom are not able or unable to enroll in affordability programs. Thank you.

A.L.J. KERSEY: Thank you. Thank you for your comments. Judge?

A.L.J. LECAKES: Yes.

A.L.J. KERSEY: Should we just leave it open another ten minutes?

A.L.J. LECAKES: Yep.

A.L.J. KERSEY: We'll continue to leave the hearing -- we're going to go off the record, but leave it open until 1:50 if there are any further comments.

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(Off the record)

(On the record)

A.L.J. KERSEY: All right. We are on the record. I have received no additional speaker registration cards and have polled those present to see if they -- if anyone intended to make a statement. No one has indicated a wish to speak.

We just want to remind you all that you may submit comments regarding these proceedings by the other means that I described earlier, even if you spoke today. You must do so by November 21st, 2025, for those comments to be considered.

I also want to just let you know that there will be another public statement hearing here this evening at 6 p.m., and then tomorrow there will be public statement hearings happening in Queens and in the Bronx.

And then Tuesday and Wednesday, July 22nd and 23rd, there will be public statements on both of those dates at 6 p.m. in Staten Island. You can receive more information about the location of those public statement hearings online at our website or outside if you just speak to the customer service

representatives right outside the door here.

I want to thank you for your participation today. This hearing is concluded, and we are off the record. Thank you so much. Have a great afternoon.

(The hearing concluded at 1:51 p.m.)

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I, ILDIKO NYARI, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 23, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 12th day of July, 2025.

ILDIKO NYARI, Reporter